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SYRIA

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Name	Signature	Date
Hala Baidoun – Regulatory Compliance		3.9.2019
Ajia Shaheen – Compliance Unit		3.9.2019
Wael Abou Zeidan – Finance & Planning, Reconciliation, Financial Control		04.09.2019
~~Georges Bitar – Finance and Treasury Department~~		
Karam Bechara – General Manager		4-9-2019

chorbel Salameh 10.09.2019

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A1: INTRODUCTION

The Foreign Account Tax Compliance Act ("FATCA") is US legislation with the primary goal of providing the Internal Revenue Services ("IRS") with an increased ability to detect US tax evaders concealing their assets in non-US financial accounts or indirectly through offshore entities.

In this context, the regulations request Foreign Financial Institutions ("FFI"), such as Byblos Bank, to enter into an agreement with the US tax authorities (IRS) by which they agree to identify and report directly to the IRS certain information about specific type of banking products held by US clients (individuals or entities) or by certain non-US entities (referred to as NFFE) in which a U.S. partner/shareholder owns more than 10% of the company.

This procedure lays down the processes deemed necessary to guarantee the compliance of BBS with FATCA reporting requirements and specifies the roles & responsibilities of the involved parties.

GLOSSARY

Form 8966: IRS form used to report information with respect to each U.S. accounts, and substantial U.S. owners of passive non-financial foreign entities (NFFE).

Pooled reporting: For purposes of reporting, BBS is permitted to use the Form 8966 report on recalcitrant accounts holders and nonparticipating FFIs on an aggregate basis in a reporting pool rather than report each account holder's information separately.

8966 Pro: 8966 Pro is a software used for the internal validation of reportable data extracted from T24, creation of the XML format report as per the IRS reporting schema, encryption and digital signature of report. It is also used to decrypt notification received from the IRS and it serves as an audit trail to all correspondences with the IRS.

IDES: IDES web application is a secure managed file transfer service that is available to FFI to facilitate FATCA reporting and exchange of information between the IRS and the FFIs.

FATCA Financial Account: Among BBS products, a FATCA financial account is any depository or custodial account. Depository accounts include the following types of accounts regardless of whether they generate interest or not:

- Accounts of current or saving nature
- Accounts evidenced by a certificate of deposit, investment certificate or other equivalent certificate
- Any other instrument for placing money with a bank.

A custodial account is an agreement between the client and the bank, whereby the bank agrees to hold for the account of the client a financial instrument, contract or investment. *Refer to "FATCA Identification Guidelines" for the list of account categories meeting the definition of a FATCA financial account.*

Notification: Correspondence received from the IRS to be downloaded though IDES.

IDES Alert: e-mail received from IDES informing the Reporting Officer of the status of the uploaded files and alerts him about notifications to be downloaded.

ABBREVIATIONS:

ABM	Assistant Branch Manager
AS	Administrative Staff
BBS	Byblos Bank Syria
BM	Branch Manager
NFFE	Non Financial Foreign entity
IRS	Internal Revenue Service
ORM	Operational Risk Management
RM	Relationship Manager
SOD	Start Of Day
USD	United States Dollar

A2: RISK ANALYSIS

The A2 Draft Risk Analysis Table covers as much as possible the likely threats and causes that can produce an operational risk event. It identifies the Risk Owners who initiate the risk as well as the Control Owners who implement the controls. Furthermore, it assesses the "Gross Risk Level" and "Control Level" of each risk and control point.

This draft is filled in and rated by the Business Owners and was reviewed by the Risk Control Unit

A3: MAJOR PRINCIPLES

I. Reporting Requirements

In order to fulfill its reporting obligations under the FFI agreement, BBS is required to report information, on annual basis, on accounts held by US Persons, substantial US owners and Recalcitrant Account Holders.

The annual reporting must be completed before March 31 of the subsequent year.

1. Reporting on US Accounts

1.1. BBS is required to report specific information pertaining to each financial account held by US Person, or Substantial US Owner of a Passive NFFE.

1.2. Client is deemed "US Person" if he has one of the following FATCA classifications on Temenos T24:

- US Person (Individual)
- US Person (Entity)

1.3. Substantial US Owners are identified whenever a company has been classified as "US Owned Passive NFFE" on T24.

1.4. The reporting is to be done on financial account level. Therefore, the data file will include a separate record for each financial account under client's CIF.

1.5. The information to be reported is the following:

a. Case of US Person:

- Client full name, home address, and TIN
- Account number, currency and balance or value as of 31.12 or as the SOD balance of the day related to the last transaction processed on the account and that is initiated by the client

b. Case of Substantial US Owners of Passive NFFE:

- Name, home address, and TIN of each Substantial US owner
- Name and permanent address of the US owned Passive NFFE
- Account number, currency and balance or value of the Passive NFFE as of 31.12 of the previous year or as of closure date

1.6. For joint accounts, each financial account will be reported on a separate record for each account holder that is a specified U.S. person. Therefore, each US Person will be attributed the entire balance of the jointly-held financial account (e.g. an account X that is held by 2 US Persons, will be reported in 2 records; each record with the total amount balance will be allocated to each of the US account holders).

1.7. For Joint/collective accounts, the report pertaining to the US Person party must include the same information relevant to private account (listed above), in addition to:

- Account number of the Joint/Collective account
- The home address that is inputted in the Joint/collective CIF

2. Reporting on Recalcitrant Account Holders

2.1. BBS is required to report certain aggregate information regarding accounts held by Recalcitrant Account holders.

2.2. The reporting is due annually on March 31 for each preceding year

2.3. Reported information includes aggregate number and aggregate balance as at year-end or closure date of all financial accounts held by clients classified on T24 as "Recalcitrant account holders". BBS must segregate the report according to the following categories and then by currency:

- Substantial US Owners of Passive NFFE
- Account holders that are US Persons (i.e. the client is already documented and classified as "US Person" on T24)
- Account holders with CIF that includes US indicia
- Dormant CIFs
- Account holders with CIF that does not include US Indicia (i.e. High value clients with Assigned RM)

II. Reporting Mechanism

1. General Reporting Rules

1.1. The reporting is performed on financial account level (i.e. not CIF); therefore, each reportable financial account will be reported separately.

1.2. The balance/value of the financial account, and any reportable payment, must be reported in the currency of the financial account. If the balance/value of the financial account is equal to "0", but the account is not closed on T24 or if the balance is debtor, then the amount to be reported is "0".

1.3. In case the financial account is closed/terminated on T24, the balance/value that must be reported is the SOD balance of the day related to the last transaction processed on the account and that is initiated by the client.

1.4. Head of Finance & Treasury will be responsible for controlling manually:

i. The list of closed accounts to be reported as well as accuracy of the closed accounts balances versus data displayed on T24 system.

ii. The aggregation of balances when pooling is applicable.

N.B: The extracted list of closed accounts and the aggregation of balances shall be reviewed and signed by Head of Finance & Treasury and filed in a dedicated folder

1.5. The reporting of information is conducted through electronic filing of Form 8966. In this respect, a data file(s) will be extracted from the bank's database on T24 by the Head of Finance & Planning, Reconciliation & Financial Control Unit on the 2nd week of January of each year. Data file(s) includes KYC and financial information to be reported (detailed in section I. Reporting Requirements).

1.6. Data file(s) must be subject to validation prior the reporting:

- A preliminary validation is performed through uploading the data file(s) on 8966 Pro software without submission. An error log file will be retrieved from system to identify erroneous records (if any). Reporting Officer will consult the log file for easy identification of records that need adjustment, and highlight them in the data file
- Verification for the completeness/reliability of KYC information is performed by Compliance Unit

1.7. A soft copy of the said data file must be archived by Head of Finance & Treasury on a dedicated shared folder with restricted access to concerned parties.

1.8. Once validated, the data file(s) will be uploaded on **8966 PRO software** for digital signature, encryption, and compression of XML file, and thus the generation of "data packet" to be used for reporting. The upload must be done at least before 10 days of reporting due dates (i.e. by max. 20.03 of each year).

1.9. The "data Packet" is transmitted to IRS through IDES application accessible by the Reporting Officer. Once the report is adequately received by IRS, a notification of valid receipt will be displayed on IDES system. The notification must be decrypted by the Reporting Officer using the PRO 8966 software and then forwarded to the Head of Compliance Unit for acknowledgment. This notification shall be kept with the reported data

1.10. Head of Finance & Treasury must be copied in all the email correspondences between the Reporting Officer and Compliance Unit

2. Reporting of Corrections/Amendments

2.1. In addition to the annual reporting, BBS must report amended information in case of previous erroneous reporting or in case of receiving an IRS notification for correction of client's information.

2.2. Amendments can be triggered either by Head of Finance & Treasury if pertaining to financial information concerning a previously reported account or by Compliance Unit if the previously sent information regarding KYC were erroneous.

2.3. IRS notification is received electronically through IDES system. An alert is automatically sent by email from IDES to the Reporting Officer and to Head of Compliance Unit. Received notification must be downloaded by the Reporting Officer within maximum 7 calendar days, and then decrypted on 8966 Pro.

NB: *After 7 calendar days, the notification will disappear from the system and therefore cannot be retrieved.*

2.4. Upon receipt of email alert from IDES, the IRS notification must be promptly recorded by the Reporting Officer on a dedicated electronic register (protected excel file). The Reporting Officer is granted access over this register to amend the status of the recorded notifications.

2.5. BBS must respond to IRS notification through conducting necessary corrections and submitting them within 90 days of date of receipt (or prior to the end of year if the remaining period is less than 90 days).

- If the notification requests corrections related to balances of financial accounts, the reporting officer will handle the manual adjustment of the record on the data file and request necessary rectification on T24 from the concerned branch (if needed). These amendments shall be validated by Head of Finance & Treasury prior to being executed on T24.
- If the notification requests corrections related to client's information (i.e. KYC), the reporting Officer will submit the decrypted notification to Compliance Unit and follow-up with them on the corrections.

2.6. Compliance Unit is responsible for requesting the necessary KYC amendments from the concerned branch department within the defined timeframe. Compliance Unit should follow-up with branches on adequate rectification on weekly basis by extracting from the excel register the list of CIFs subject to IRS notification since more than 60 days and that have not been yet rectified.

2.7. The Reporting Officer is responsible for the follow-up on adequate and timely receipt of responses from different parties involved in the IRS notification. In this respect, the Reporting Officer must:

- Update the electronic register (excel) pertaining to IRS notification detailing, (1) date of dispatch to Compliance Unit (if any), (2) date of correction, (3) date of submitting the correction to IRS, and (4) status of the notification.
- Submit the correction to IRS within maximum 90 days of the notification receipt date.

2.8. Correction or amendment is done through submitting electronically the corrected/amended record on PRO 8966 software based on the following options:

i. “Corrected Data” option is used for records being re-transmitted after the IRS has notified BBS of a problem with the record’s underlying data. “Corrected Data” should only be used when responding to an IRS notification to correct the data.

ii. “Amended Data” option is used to amend a record(s) previously transmitted to the IRS, but found to contain erroneous information (i.e. without receiving IRS notification).

iii. "Void Data” option is used to erase previously-filed records when data needs to be re-transmitted. Only records with the following errors should be voided:

- No Account Holder or Substantial US Owner TIN
- Incorrect Account Holder or Substantial US Owner TIN
- Incorrect Account Holder or Substantial US Owner Name
- Incorrect Account Holder or Substantial US Owner Name and Address

2.9. The upload of corrected/amended Packet Data file on IDES is performed in the same manner as uploading a new file. *Refer to section II.1. of the M.P*

A4: ROLES AND RESPONSIBILITIES

I. Reporting Officer – Head of Finance & Planning, Reconciliation, Financial Control Unit

1. Extract the list and balances of CIFs classified US person and Recalcitrant on the 2nd week of January of each year
2. Aggregate the balances of accounts pertaining to Recalcitrant Account holders
3. Check the completion of the financial data in the data file
4. Upload the data file(s) on 8966 PRO software for preliminary verification of data reliability without submitting the file, and retrieves the log file.
5. Consult the generated error log file for proper identification of erroneous records (if any), and highlight them in the data file(s).
6. Send the data file(s) to Compliance Unit for verification of KYC information, enclosing the errors log file retrieved from 8966 PRO (if any).
7. Upload the data file(s) on 8966 Pro software for digitally signing, encrypting, compressing the XML file and creating the packet data file.
8. Upload Data packet to IDES application for submission to IRS.
9. Inform the Head of Compliance Unit and Head of Finance & Treasury Department about the submission of report.
10. Carry on the download of IRS notification upon receipt of email notification and its decryption on 8966 Pro software.
11. Updates the status of IRS notification on the excel register.
12. Submit to Compliance Unit the encrypted IRS notification whenever it involves correction to client's information (KYC).
13. Follow-up on completion of rectifications within 90 days of the date of notification receipt.
14. Perform the necessary rectification on data file record, whenever the correction is related to balances of financial accounts.
15. Enquire IDES application twice per week, in order to identify newly received IRS notifications.
16. Escalate issues related to FATCA reporting to the Head of Finance & Treasury and to General Manager

II. Head of Finance & Treasury Department

1. Control the accuracy of data file(s) when the balances of closed/terminated accounts are manually added by the Reporting Officer or when aggregation of balances is applicable.
2. Control the accuracy and completeness of the data file following any manual adjustment conducted by the Reporting Officer.
3. Supervise the work of the Reporting officer and ensure the adequate and timely submission of final reports to IRS.
4. Archive all the versions of data file(s) on a dedicated shared folder with restricted access.
5. Maintain Business rules and parameters of data file(s) template and make sure to conduct necessary update in accordance with new notices released by the IRS.
6. Ensure that the reporting officer is enquiring IDES application twice per week, in order to identify newly received IRS notifications and that the register is updated
7. Escalate issues related to FATCA reporting to the General Manager

III. Compliance Unit

1. Send an email to the concerned branch requesting the rectification of erroneous KYC information, specifying the deadline.
2. Undertake the necessary correction on the data file when receiving a confirmation for KYC rectification from branch
3. Records IRS notification and its date of receipt on a dedicated excel register.
4. Follow-up with branches on adequate and timely rectification of KYC information, through generating from the excel register the CIFs having IRS notification since more than 60 days and still have not been rectified.
5. Escalate issues and breaches related to the reporting processes to the General Manager

IV. BM/ABM

1. Ensure adequate and timely response to Compliance Unit regarding IRS notifications related to branch's clients.
2. Follow-up with the customer on receipt of necessary documentation whenever requested from Compliance Unit.
3. Request from the client to approach the bank for KYC update whenever an amendment to customer's information is requested by Compliance Unit

A5: FLOWCHARTS

1. FATCA REP 1: Electronic Filing
2. FATCA REP 2: Amendment/Correction of Electronic Filing

A6: NARRATIVE PROCEDURE

1. FATCA REP 1: Electronic Filing

No	Actor	Task
1	**Reporting Officer – Head of Finance & Planning, Reconciliation and Financial Control**	***Extraction of data file*** On the 2nd week of January of each reporting year, ▪ Extracts from T24 the data file(s) related to: - US Persons and US Owners of Passive NFFE - Recalcitrant Account holders ▪ Checks the completeness of the financial data
	Head of Finance & Treasury	▪ Controls the completeness of the data file(s) and provides clearance to the Reporting Officer at BBS for proceeding ▪ Archives a copy of the validated data file(s) on dedicated shared folder (1)
	Reporting Officer – Head of Finance & Planning, Reconciliation and Financial Control	a. <u>Case of data file related to Recalcitrant Account holders</u> ▪ Go to process nb. 2 b. <u>Case of data file related US Persons or US Owners of Passive NFFE:</u> ▪ Uploads the data file(s) on 8966 Pro software for 1st verification of data reliability, and extracts errors log file (if any) for consultancy (2) ▪ Consults the errors log file (if any) for identification of rejected records and highlights them in the data file(s) ▪ Submits the data file(s) and errors log file (if any) to Compliance Unit requesting verification of KYC information before the 20th of March (3)
	Compliance Unit - BBS	▪ Verifies completeness and reliability of the data file(s) concerning KYC information a. <u>If KYC information is complete and reliable:</u> ▪ Submits the validated data file(s) to the Reporting Officer- BBS(cc. Head of Compliance Unit and Head of Finance &Planning, Reconciliation & Financial Control) b. <u>If errors were identified:</u> ▪ Sends an email to the related BBS branch requesting the prompt rectification of KYC information and obtaining client's signature where necessary *Upon receipt of rectification confirmations by email,* ▪ Controls that KYC information is adequately rectified on T24

	Head of Finance & Treasury	▪ Controls the completeness of the data file(s) and provides clearance to the Reporting Officer BBS to proceed ▪ Archives a copy of the validated data file(s) on dedicated shared folder
2	**Reporting Officer – Head of Finance & Planning, Reconciliation & Financial Control**	***Preparation of Data Packet*** On 20th of March of the reporting year, ▪ Uploads each data file on 8966 Pro software for processing a. Case of Error notification received: ▪ Consults the errors log file and coordinates with Compliance Unit for urgent resolution of the matter (3) ▪ Re- uploads the file on 8966 Pro b. Case of no Error notification received: ▪ 8966 PRO: - Digitally signs and compresses the XML file - Encrypts the XML file - Creates data packet transmission ▪ Uploads Data packet to IDES application i. If the upload successfully complete: ➢ *IDES files electronically Form 8966* ➢ *IDES displays Confirmation alert* ▪ Informs Compliance Unit by email about successful upload ▪ End of process ii. If the upload is not successful: ▪ Retrieves the log file from IDES and contacts BT for urgent technical support ▪ Re-uploads the file upon once the problem is resolved ▪ End of process *1. Data packet must be saved by the Head of Finance & Treasury on dedicated shared folder with restricted access along with related versions of data file(s).* *2. At this stage, the data file(s) will be uploaded on 8966 Pro for verification purpose only and therefore there is not any submission of data file(s).* *3. Erroneous information must be rectified within 48H, otherwise the data file will be submitted even if it contains erroneous records.* *4. A Notification will be received from the IRS confirming that the packet data format is valid/invalid, and providing reason of rejection if any.*

FATCA REP 2: Amendment/Correction of Electronic Filing

No	Actor	Task
1	**Reporting Officer – Head of Finance& Planning, Reconciliation & Financial Control**	***Receipt of IRS Notification*** Email alert received automatically regarding new IRS notification(1) or Reporting officer needs to submit an amendment (without receiving IRS notification), ▪ Logs in to IDES application, downloads the notification and records the notification on Excel Register ▪ Decrypts the notification on 8966 Pro and checks its content ▪ Retrieves from data file the record subject to the notification after identifying it from 8966 Pro logs
2	**Reporting Officer – Head of Finance& Planning, Reconciliation & Financial Control**	***Case of need for correction*** In case there is a need to submit an amendment (without receiving IRS notification), or in case receipt of IRS notification requesting, a. <u>Corrections/amendments related to a/c balance:</u> ▪ Performs the necessary adjustment on T24 system and manually rectify on the concerned record and gets approval of Head of Accounting & Treasury Department on it ▪ Go to process nb. 3 b. <u>Corrections related to KYC information:</u> ▪ Sends the record and decrypted notification to Compliance Unit by email, requesting corrections and mentioning the deadline (cc. Head of Accounting & Treasury) and updates the excel register
	Compliance Unit	▪ Examines the content of the IRS notification ▪ Sends an email to concerned branch for proper update of KYC information specifying deadline
	Branch	▪ Contacts the client and undertakes the necessary adjustment on KYC information (TIN, address, etc…) ▪ Informs Compliance Unit about the rectification by email
	Compliance Unit	▪ Controls the accuracy of the rectification on T24 and conducts manual adjustment on the concerned record ▪ Returns the rectified record to the Reporting officer (cc. Head of Accounting & Treasury and Head of Compliance Unit) (2)
		▪ Updates the IRS notification's excel register

3	**Reporting Officer – Head of Finance& Planning, Reconciliation & Financial Control**	▪ Uploads the data file embedding the adjusted record on 8966 Pro software using the "Corrected", "Amended" or "void" data option as per M.P. c. <u>Case of Error notification received:</u> ▪ Consults the errors log file and coordinates with Compliance Unit for urgent resolution of the matter (3) *Once necessary corrections are done,* ▪ Re-uploads the file on 8966 Pro d. <u>Case of Error notification received:</u> ▪ 8966 PRO: - Digitally signs and compresses the XML file - Encrypts the XML file - Creates data packet transmission ▪ Uploads Data packet to IDES application iii. If the upload successfully complete: ➢ *IDES files electronically Form 8966* ➢ *IDES displays Confirmation alert (4)* ▪ Sends an email to Compliance Unit and Head of Finance & Treasury confirming the submission of report ▪ Updates the status of the notification on the excel register ▪ End of process iv. If the upload is not successful: ▪ Retrieves the log file from IDES and contacts BT for urgent technical support ▪ Re-uploads the file upon once the problem is resolved ▪ End of process
		1. Email notification will be received by Reporting Officer and Head of Compliance Unit team. notification will be available for download for 7 calendar days only. Head of Accounting & Treasury should ensure that the reporting officer is enquiring IDES application twice per week, in order to identify newly received IRS notifications and that the register is updated *2. Head of Finance & Administration Unit will verify the rectified record and archives on the dedicated shared folder the validated data file received from Group Compliance and the data packet file generated from 8966 Pro.* *3. Erroneous information must be rectified within 48H, otherwise the data file will be submitted even if it contains erroneous records.* *4. A notification will be received from IRS confirming that the packet data format is valid/invalid, and providing reason of rejection if any. This notification must be extracted by the Reporting Officer and communicated to Compliance Unit*

	Compliance Unit	**On weekly basis,** ▪ Extracts from the excel register CIFs subject to IRS notification since more than 60 days with no rectification ▪ Sends reminder emails to branch
	Reporting Officer – Head of Finance& Planning, Reconciliation & Financial Control	**Twice per week** ▪ Logs in to IDES application and verifies the existence of new received IRS notification